Brazil Macro Monthly

GDP revised up, fiscal target likely to be achieved

- US inflation eased considerably, although the economy remains solid. We expect the Fed to cut by 25 bps in all remaining meetings this year. China´s activity continues to disappoint, reinforcing weaker structural growth. Mixed performance of commodities impacts each country differently.
- In Brazil, GDP exceeded expectations in 2Q, driven by domestic demand. As a result, we revised our projection for 2024 GDP, to 3.1% from 2.7%. We see a slowdown to 1.8% in 2025 (before: 1.6%), reflecting tighter monetary policy and the downward trend in commodity prices.
- We forecast the central government's primary deficit at 0.3% of GDP (previously: 0.4%) due to the increase in extraordinary revenues. The probability of meeting the primary target has increased. For 2025, increasing revenue and controlling expenditures will be challenging.
- The exchange rate will remain under pressure. On the one hand, the soft-landing scenario in the US provides some relief. On the other hand, fiscal risks and falling commodity prices are worrying. In all, we maintain our forecast of 5.40 reais to the dollar by YE24 and YE25.
- The main inflation metrics remain distant or moving away from the target. The balance of risks remains challenging, due to heated demand and higher production costs (taxes, exchange rate, wages). We forecast inflation (IPCA) of 4.4% in 2024 and 4.0% in 2025.
- Strong activity and elevated inflation expectations reinforce our view that the Copom will implement a 150-bp tightening cycle, starting with a 25-bp hike this month. This prompt response should contribute to rebalancing the economy and may open room for policy normalization further ahead. We will monitor the evolution of the economy before finetuning the timing and intensity of this process.

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XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	3.1	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	6.5	7.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	4.4	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	11.75	12.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.40	5.40
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.5	-0.8
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.3	-0.5
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.7
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.4	81.4
Trade Balance (USD Bn)	29.6	35.7	42.3	51.5	92.3	82.0	86.0
Exports (USD Bn)	225.8	210.7	284.0	340.2	343.8	348.0	357.0
Imports (USD Bn)	196.2	175.0	241.7	288.7	251.5	266.0	271.0
Current Account (USD Bn)	-65.0	-24.9	-40.4	-40.9	-21.7	-42.0	-38.5
Current Account (% GDP)	-3.5	-1.7	-2.4	-2.1	-1.0	-1.9	-1.7
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	74.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.2	3.2
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,175	2,318
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,630	12,352

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

Foreword – Swimming against the tide

This month, the Federal Reserve will most likely reduce rates for the first time in almost five years. We also expect that a rate cut will be the next step for central banks in the Eurozone, United Kingdom, Chile, Colombia, and Mexico, among others. The Brazilian Central Bank, in turn, will probably hike rates in its September monetary policy meeting.

Why such a disparity?

Glass half full: the tightening cycle will come as a response to stronger-than-expected growth and labor market. We have recently revised our 2024 GDP growth forecast to 3.1% – around 3.0% for the third year in a row – and our unemployment rate projection to 6.5% for the end of this year, the lowest level (by far) in 15 years.

Glass half empty: fiscal and quasi-fiscal policy remains expansionary, which requires an even tighter monetary policy to balance aggregate demand and supply. Moreover, production costs are on the rise due to increases in corporate tax burden, the weaker exchange rate, and rising labor costs.

As a result, inflation expectations are on the rise, moving further away from the target. The response from the central bank will eventually be hiking rates. We believe that both the current and the next BCB governor – Campos Neto and Gabriel Galípolo – will agree on that. Lower rates abroad won't help much in reducing domestic inflationary pressures.

Under those circumstances, some weeks ago we incorporated a moderate tightening cycle into our baseline scenario (see here). We see the Selic rate reaching 12.00% in January, or some 8.00% in real terms.

Considering the hypothesis used by the central bank that the neutral real interest rate is around 5.00%, this tightening cycle – along with the recent decline in commodity prices and a likely less intense fiscal impulse ahead – should be enough to stabilize IPCA inflation or even put it on a declining trend again.

If that works, the central bank will likely find room to normalize monetary policy by late 2025 or early 2026, heading to the 9.00-10.00% neutral level. We will monitor the evolution of the economic scenario before finetuning the timing of this process.

Global backdrop – Calibrating the pace of easing cycles

Francisco Nobre

The Fed will start cutting in September… the question is by how much? Inflation eased considerably in the past few months, increasing the Fed´s confidence in achieving its target. Powell´s speech in Jackson Hole made it clear that the time to cut has arrived.

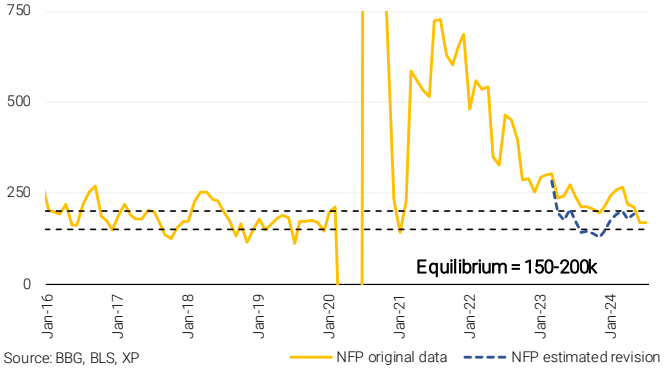
Starting with 25 bps would be more appropriate. We think that the Fed should start its easing cycle gradually, given that we do not see clear signs of weakening of the economy, as suggested by the solid Q2 GDP growth and other activity indicators. Also, inflation has come down considerably, although it is still somewhat above the 2% target, meaning that there are still risks to both sides.

However, the Fed´s reaction function has become much more sensitive to the employment side of the mandate, given the recent increase in the unemployment rate (despite remaining historically low). Weaker than expected labor market data ahead may force the Fed to deliver a 50-bps cut in September or in the incoming meetings.

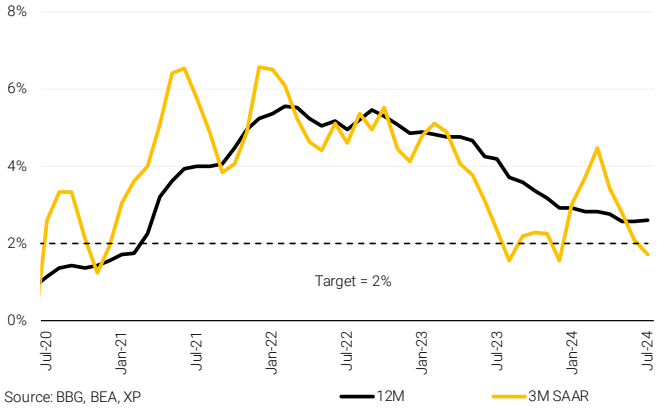
All in all, we expect the Fed to deliver three consecutive 25 bps cuts this year and reach the neutral rate of 3.5% in 2026. We do not believe that the Fed Funds rate will get back to pre-pandemic levels. First, the sequence of economic shocks since the pandemic has likely raised the real neutral rate (r*) from 0.5% to around 1.0%. In addition, geopolitical and trade tensions are likely to leave the global environment more inflationary than it was in the past, and we see core PCE inflation lingering around 2.5%. That, combined with a soft-landing scenario, suggests that the Fed should adopt a gradual easing cycle.

Europe should maintain a quarterly easing pace amid the timid slowdown. The ECB will most likely cut rates for the second time in September (following the June cut and July skip). Beyond that, it is still uncertain. On the one hand, lingering high service inflation and fiscal concerns require a restrictive monetary policy for longer. On the other hand, growth concerns increase the chance of an October rate cut. In addition, the ECB has space to cut while keeping rates above

US labor market data downward revision is still consistent with equilibrium and not deterioration
Change in Nonfarm Payroll (thousand), 3MMA



US inflation approaches target
Core PCE Deflator



the neutral level, and the perspective that the Fed will cut rates certainly helps the ECB. Our base case scenario considers a skip in October and a third cut this year in December. However, this outcome will likely depend on inflation (especially services), wage growth, fiscal spending, and the Fed.

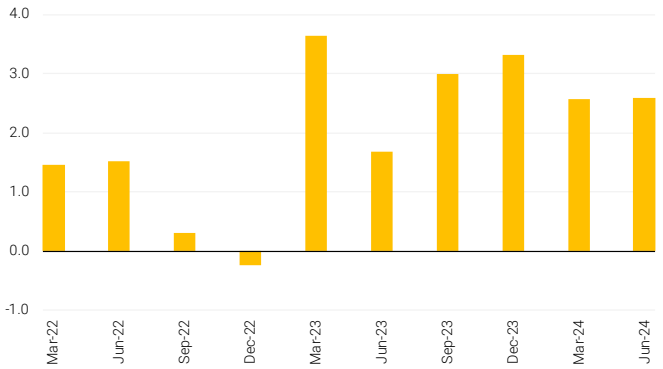
The outlook is similar for the UK, and the BoE should continue cutting, albeit gradually.

China continues to struggle with its economic recovery. Data published in August was once again weak. Namely, (1) the NBS Composite PMI registered 50.1 in August, its lowest reading since December 2022; (2) industrial output grew by 5.1% YoY in July, the second lowest in the past year; (3) retail sales contracted in July; and (4) new home prices dipped the most in nine years last month. On the credit front, new yuan loans fell to a 15-year low in July, dragged by plunging demand from enterprises and households.

In all, China continues to struggle to spur an economic turnaround amid mounting challenges such as disinflation risks, sluggish exports, and the housing market crisis. The Chinese government has continuously signaled to boosting stimulus in order to achieve the 5% growth target. However, data remains consistent with our view that structural growth is weaker in China.

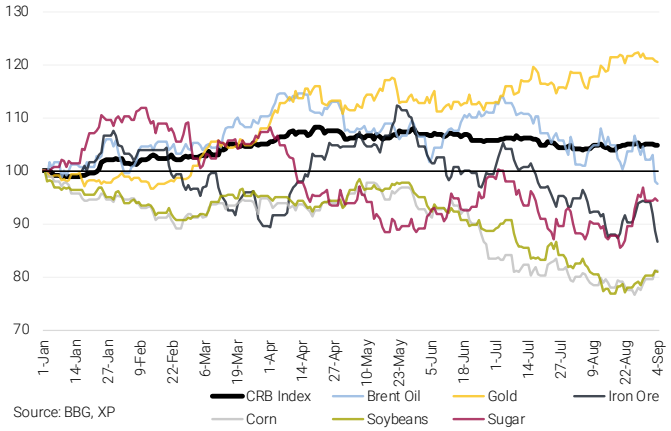
Mixed performances among key commodities. Gold surged to record highs of above USD 2,500 per ounce, driven by the potential interest rate cut in the US. Some other metals, on the other hand, dropped considerably, especially iron ore. Sugar prices hit a monthly peak of 19.1 cents per pound due to concerns over reduced production in Brazil and extreme weather in Thailand. On the downside, natural gas prices fell to a three-week low amid oversupply concerns, with storage levels 12.6% above the five-year average. By the same token, corn and soybeans both dropped to four-year lows due to better supply prospects, weaker demand, and forecasts of a record autumn harvest. Meanwhile, Brent oil prices have fluctuated at around USD 72-82 per barrel amid geopolitical risks and concerns regarding a US recession (two offsetting factors). Given mixed performances, the impact on each country has varied depending on their trade dynamics.

Private demand in the United States remains solid
Real Final Sales to Private Domestic Purchasers. QoQ SAAR (%)



Source: Fred, XP

Diverging commodity prices in 2024
Commodities indices (Jan24 = 100)



Source: BBG, XP

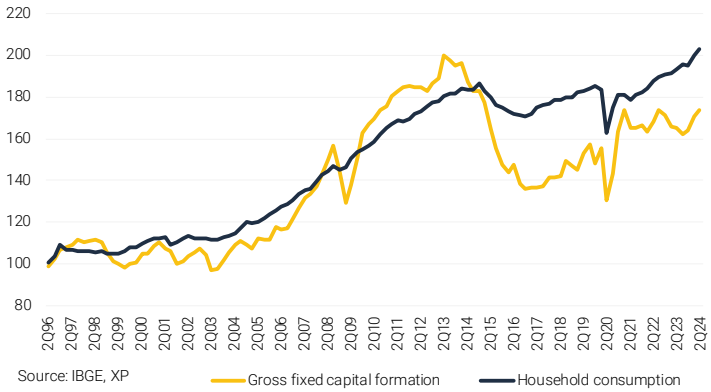
BRAZIL – GDP revised up, fiscal target likely to be achieved

Activity – GDP growth should exceed 3% in 2024

Rodolfo Margato

Strong Q2 GDP, driven by domestic demand. As released last Tuesday (03), GDP increased by 1.4% QoQ in 2Q (3.3% YoY), above expectations. The pace of economic growth remained strong – there was an increase of 1.0% QoQ in the previous quarter – despite the natural disaster that devastated the state of Rio Grande do Sul in May. We highlight the resilience of household consumption and the firm recovery in investments, which help explain the rise of domestic demand by more than 4% in the first half of 2024 (compared to the same period of 2023).

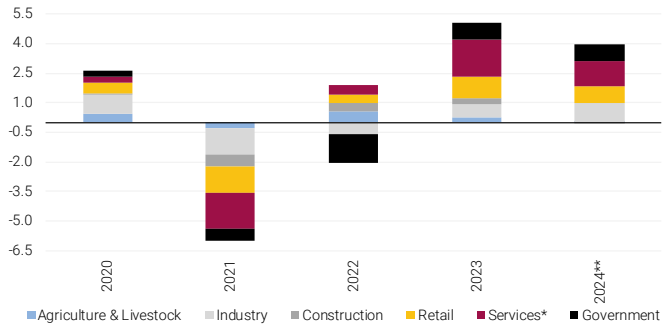
Household consumption grows steadily since 2022
Seasonally adjusted series



Source: IBGE, XP

Tight labor market, with the unemployment rate at its lowest level in ten years. The unemployment rate remained at 6.8% in July (monthly and seasonally adjusted estimates), the lowest level since 2014. The employed population and real wages have risen significantly since mid-2023, despite signs of moderation at the margin. According to our calculations, real aggregate labor income will grow by approximately 7% this year. In addition to improved employment and income indicators, credit concessions continue to trend upward, supporting our sanguine view on short-term domestic demand.

Average earnings grow in most sectors in 2024
Real average labor earnings by sector. Annual variation (%)



Source: IBGE, XP
* Services = Transportation + Food & Accommodation + Communication + Other Services + Housing
** YTD

We expect that GDP will grow 3.1% in 2024. Our projection for 2024 GDP growth was revised to 3.1% from 2.7% due to the stronger-than-expected performance in 2Q and the encouraging sectoral breakdown. We believe GDP will remain in positive territory in the coming quarters, albeit more moderately compared to the first half of this year. Our preliminary forecast for 3Q GDP growth stands at 0.5% QoQ (3.7% YoY).

Tighter monetary policy is likely to lead to an economic slowdown next year. We revised our projection for 2025 GDP growth to 1.8% from 1.6%, in line with the higher statistical carry-over effect from 2024 GDP (we estimate 0.6%) and our positive view for the main consumption fundamentals. That said, we think that the more contractionary degree of monetary

GDP Breakdown — XP Forecasts (%)

	2023	2024	2025
Agriculture & Livestock	15.1	-1.2	3.8
Total Industry	1.6	3.6	1.5
Total Services	2.4	3.0	1.7
Net Indirect Taxes	2.1	4.0	1.6
Total GDP	**2.9**	**3.1**	**1.8**
Household Consumption	3.1	4.4	2.2
Government Consumption	1.7	2.5	1.5
Gross Fixed Capital Formation	-3.0	4.2	1.3
Exports	9.1	4.6	2.6
Imports (-)	-1.2	9.8	3.0

Source: IBGE, XP

policy (see the last section of this report) and the downward trend in commodity prices will lead to an economic slowdown over the next year.

Public finances – Meeting the target in 2024 is now likely, but challenges remain for 2025

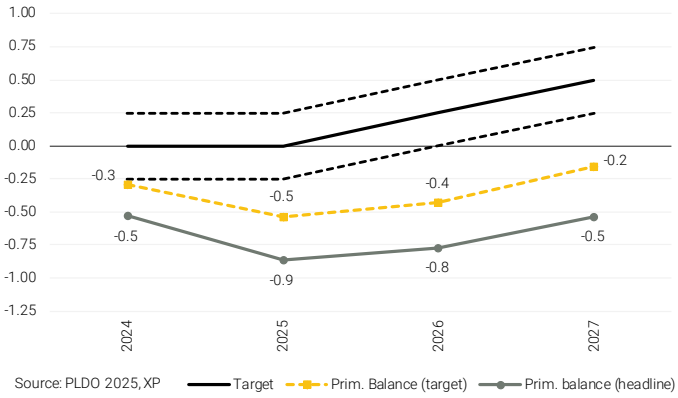
Tiago Sbardelotto

Primary deficit surges in July. Despite revenues growing by 9.6% in real terms, the central government posted another primary deficit in July of BRL 8.6 billion. As a result, the central government's primary deficit reached BRL 79.3 billion year-to-date, or BRL 68.1 billion excluding expenses related to aid to Rio Grande do Sul (the figure accounted for in the primary balance target).

Recent revenue measures, however, will probably revert the negative trend. The government, along with Congress, presented several revenue-boosting measures to compensate the payroll tax exemption approved last year. In our view, these measures may increase revenues by BRL 25.5 billion this year (see details here).

High probability of meeting the 2024 target. With the inclusion of the payroll compensation measures, we've reduced our primary deficit projection from BRL 78.2 billion (0.7% of GDP) to BRL 66.7 (0.5% of GDP). Excluding the BRL 33.0 billion in aid to Rio Grande do Sul, the expected deficit has improved from BRL 47.6 billion (0.4% of GDP) to BRL 32.5 billion (0.3% of GDP), which is only BRL 3.7 billion below the lower bound of the primary balance target (BRL 28.8 billion). Therefore, a small additional spending cut should allow for the government to achieve the primary balance target, which makes this scenario very likely.

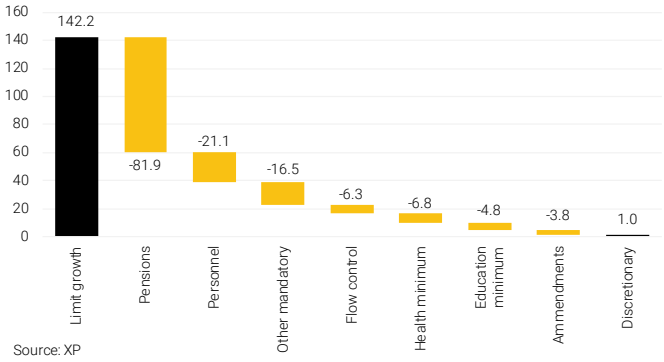
Government could achieve lower bound of the target in 2024
Primary balance (% of GDP)



Source: PLDO 2025, XP

The challenges for 2025 remain the same: the government is counting on additional (and uncertain) revenues to balance increased spending. The government presented next year's budget proposal with an **additional revenue forecast of BRL 168.3 billion**, reinforcing the fiscal consolidation strategy focused on the revenue side. Out of these, BRL 121.5 billion is related to extraordinary revenues - including CARF and tax transactions - which **have a very high degree of uncertainty** and have been much lower than expected this year. The remaining BRL 46.7 billion are conditional revenues - an increase in the income tax rate on equity interest and CSLL, and the end of the

Growth in compulsory spending should take up space from discretionary spending in 2025
(BRL Bn)



Source: XP

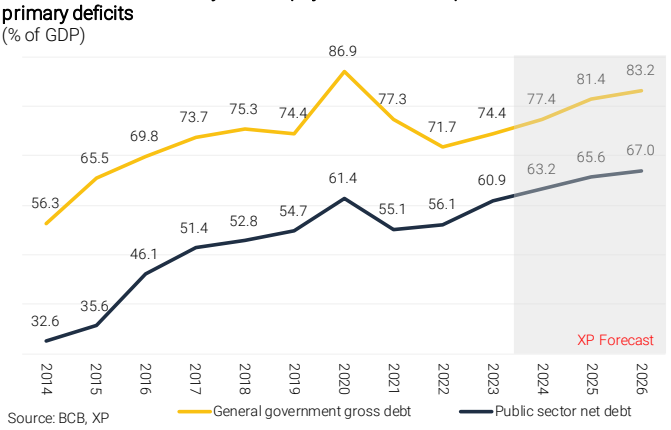
payroll tax exemption. Those measures require congressional approval and have already been rejected this year- thus, **are even more uncertain** than the aforementioned extraordinary measures.

All in all, we estimate a deficit of BRL 63.7 billion (0.5% of GDP), excluding court-ordered debts paid above the constitutional sub-limit. As for the full primary result indicator (with court-ordered payments), we project a deficit of BRL 104.5 billion (0.8% of GDP).

Regional governments are affected by exceptional events. The primary balance for subnational entities in July was heavily influenced by the privatization of Sabesp, which generated an unexpected flow of primary spending. Although this is a one-time effect, it is likely to affect the public sector's primary balance this year. Therefore, we estimate a deficit of BRL 52.0 bn in 2024 (0.4% of GDP) and BRL 87.1 bn in 2025 (0.7% of GDP) for the consolidated public sector.

Public debt continues to grow. The nominal deficit reached 10.0% of GDP in the 12-month period. High nominal interest expenditure due to higher interest rates and losses on currency swaps add pressure to the general government's gross debt. According to our projections, the general government gross debt-to-GDP ratio is expected to reach 77.4% in 2024 and 81.4% in 2025 (compared to 77.8% and 80.9% in the previous projection). Meanwhile, public sector net debt is expected to grow more moderately, thanks to the exchange rate depreciation. We expect the PSND/GDP ratio to be 63.2% this year and 65.6% next year.

Debt should rise, driven by interest payments and a sequence of primary deficits
(% of GDP)



Source: BCB, XP

BRL Bn

Measures	3rd Bimonthly report	XP	Collected by July
Change on ICMS subsides	25.9	12.1	NI
Online bets taxation	0.7	2.0	-
E-commerce taxation	-	1.0	-
Exclusive funds taxation	13.8	15.5	14.6
Taxation of investments abroad	7.3	7.3	7.3
Change of interest on equity (IoE)	-	-	-
Credit recovery at board of tax appeals (CARF)	37.7	20.0	-
Tax transactions	22.9	15.0	3.2
Review of railway concession contracts	10.8	6.0	-
Payroll tax exemption	-15.8	-15.8	-6.3
Social security tax relief for municipalities	-10.5	-10.5	-5.8
Change in events sector tax exemption (PERSE)	-	-	-
Limiting tax compensations	24.0	24.0	14.0
Petrobras extraordinary dividends	12.0	12.0	6.0
Update of assets for income tax purposes	-	3.3	-
Special foreign exchange and tax regularization	-	3.2	-
Renegotiating fines imposed by regulatory agencies	-	2.7	-
Appropriating judicial and extrajudicial deposits	-	9.8	-
Unredeemed funds in deposit accounts	-	6.5	-
Total	**128.8**	**114.1**	**32.9**

NI: No information
Source: Bimontly report, XP

External Accounts – The exchange rate remains pressured and volatile

Rodolfo Margato

The US soft landing should benefit EM currencies. As discussed in the *Global Backdrop* section, we foresee lower rates with no recession in the US, which bodes well for emerging market currencies. This outlook would be particularly true for Brazil, where economic growth is exceeding expectations, and the Central Bank is likely to raise interest rates.

On the other hand, Brazilian-related commodity prices are falling markedly this year. Soybean and corn prices have reverted to pre-pandemic levels, while iron ore and oil prices

Declining prices of key Brazilian export commodities raise concerns
Price index of the main commodities exported* (USD)

Source: BBG, XP
* Soybeans, corn, oil and iron ore

are halfway through it (see chart). Historically, the BRL has shown a strong correlation with these commodities, although this relationship has weakened after the pandemic.

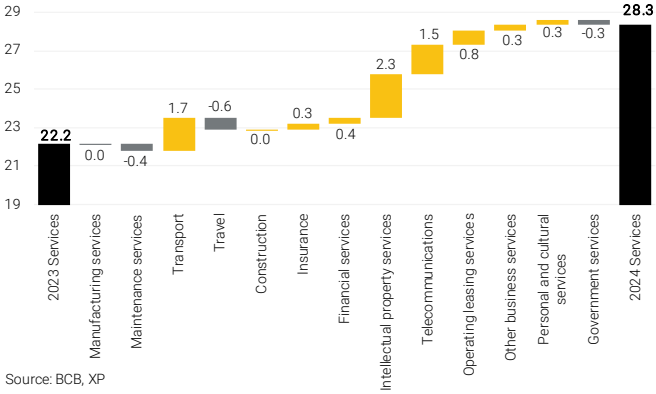
Moreover, domestic risks remain, particularly in the fiscal sector. The 2025 budget bill seems fragile since it needs almost BRL 200 billion in additional revenue to eliminate the primary deficit. Additionally, the recently announced gas distribution program (*Vale Gás*, in Portuguese), which will be executed outside the formal budget, brings uncertainty on public accounts transparency, with negative effects on risk premium. Uncertainties regarding short-term monetary policy also seem to influence the exchange rate dynamics. We believe the likely hawkish stance from the Copom — indicating an increase in the Selic rate in the upcoming meetings and, therefore, the widening of the interest rate differential — tends to lead to some relief in the exchange rate.

All considered, we kept our exchange rate projection at 5.40 reais per dollar for 2024 and 2025 year-end.

Stronger activity widens the current account deficit. The current account recorded a deficit of USD 33.1 billion in the 12-month rolling sum up to July (-1.6% of GDP), surpassing expectations. The larger deficit in the Services account stands out, particularly in transportation, information, communication, and intellectual property sectors. This trend is unlikely to be reversed in the short term, as it reflects the strong economic activity (see the Activity section) and the solid growth of factors less sensitive to economic cycles, such as rising net spending on streaming services. Meanwhile, the merchandise trade balance is expected to end 2024 at a historically high level, albeit below the record surplus achieved in 2023 (around USD 82 billion compared with USD 92 billion). The rise in import volumes – driven by solid domestic demand –, coupled with falling export prices, accounts for year's more moderate trade surplus.

The external accounts remain healthy. In light of these factors, we have revised our projection for the current account deficit at the end of 2024 from USD 34.5 billion (-1.6% of GDP) to USD 42.5 billion (-1.9% of GDP). Meanwhile, we reinforce our forecast that net inflows in foreign Direct Investment will amount to nearly USD 70 billion this year (3.1% of GDP).

Deficit in the services account increases significantly in 2024
Cumulative figures from Jan to Jul. Positive = increased deficit (USD Bn)



Source: BCB, XP

Inflation – Economic Activity and Exchange Rate as Main Risks

Alexandre Maluf

Short-term inflation remains challenging. The IPCA-15 for August came in line with expectations, without relief in the main metrics monitored by the Central Bank. The core services component has reaccelerated, remaining close to 5% in 3-month SAAR terms — a behavior in line with that observed since the beginning of 2023.

Additionally, the average of the inflation cores, which excludes volatile items such as food and energy, stood at 4.2% in the same metric, well above the target of 3.0%. It is worth mentioning that, as we anticipated in our recent reports, industrial goods prices have returned to positive territory and are expected to reaccelerate in the short term, ceasing to contribute to disinflation.

Heated demand. Recent economic activity data and labor market indicators show that strong domestic demand poses a risk to prospective inflation - especially in the services sector, which is more labor-intensive. We project inflation for IPCA services at 4.8% in 2024 and 5.2% in 2025.

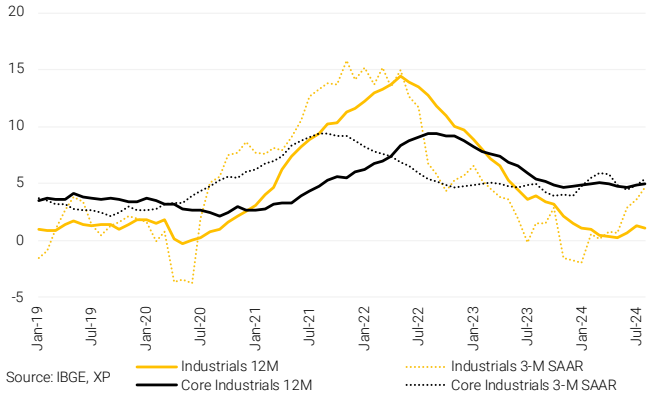
Inflation for industrial goods has reaccelerated, influenced by currency depreciation in recent quarters and rising prices of certain industrial commodities. We see this movement as a normalization, given that the group recorded very low variations in the post-pandemic period. We project inflation for industrial goods at around 3% annually in the coming quarters (currently at 1.3%).

Electricity has increased short-term volatility. Short-term inflation data has been more volatile due to constant changes in the electricity tariff flag. In July, Aneel (National Electric Energy Agency) announced a yellow flag for fares, which returned to a green flag in August. For September, we will have, for the first time in over three years, a red flag 1, which will add around 20 bps to the inflation for the month. Looking ahead, we project that the tariff flag will be red 2 in October, when it will revert to a yellow flag in November and December, without altering our current projections. For 2025, we project a green flag, which will reduce annual inflation, as we noted in our scenario review report (link).

Among monitored goods, we currently see a downside risk for fuel prices in the coming months, especially gasoline. Since Petrobras' last adjustment in early July, international fuel prices have fallen by about 20% in BRL. For now, we do not have a premise for cuts in our baseline scenario.

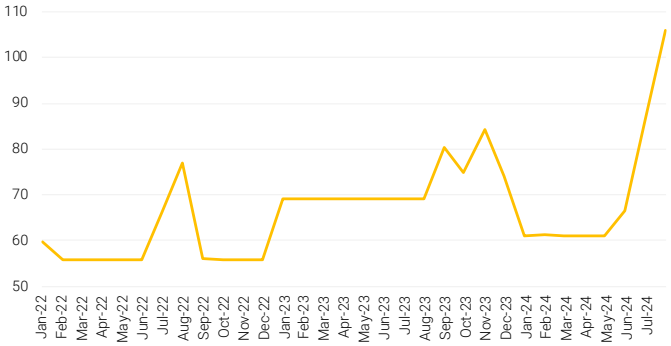
Finally, regarding food, we have not changed our benign outlook for the short and medium term. We have seen a

Upward trend on industrial prices persisted in August
IPCA-15 - Mid-month consumer inflation preview (%)



Source: IBGE, XP

Energy prices reach its highest level since 2021, adding pressure to the tariffs...
Energy price - PLD (BRL/MWh)



Source: CCEE, XP

decline in prices of fresh items throughout the third quarter, responding to the normalization of weather conditions and the sharp increases recorded in the previous quarter. Additionally, meat prices are well-behaved and are expected to continue contributing to low inflation throughout the upcoming inflation readings. Looking ahead, we have a structurally bearish view on grains and anticipate more favorable weather conditions, especially in 2025, which should translate into food inflation below the historical average for the next few quarters.

In all, we continue to project an IPCA of 4.4% in 2024 and 4.0% in 2025. The behavior of the exchange rate and heated economic activity remain the main upside risks to our scenario. We are particularly concerned with expansionary fiscal and para-fiscal policies that could add further dynamism to domestic demand and help drifting inflation expectations away from the target - making monetary policy even less effective.

...while gasoline prices declined 20% since the last Petrobras readjustment

International gasoline prices (BRL/gallon)

Source: BBG, XP

Monetary Policy – A prompt reaction now may open room for normalization in 2025-2026

Caio Megale

Fundamentals signal inflationary pressures ahead. Economic activity and the labor market have been stronger than expected. The BRL has underperformed its peers this year. Inflation expectations are on the rise, drifting further away from the 3.0% target. Producer Price Index (IPA, in the Portuguese acronym) is picking up, and should further pressure consumer prices in the coming months. This is evidence that monetary policy may not be sufficiently restrictive.

Monetary policy reaction. Against this backdrop, we incorporated a few weeks ago a higher Selic path into our baseline scenario (link). We see the Selic rate reaching 12.00% in January 2025, after a 25-50-50-25 hiking cycle starting in September.

Tighter monetary policy, lower commodity prices and a less intense fiscal impulse will probably lead to a more balanced economy ahead and, as a consequence, a stable-to-declining inflation trend.

If we are right, **the Copom may find room to normalize monetary policy by late 2025 or early 2026, heading to the 9.00-10.00% neutral level.** We will monitor the evolution of the economic scenario before finetuning the timing of this process.

XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	3.1	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	6.5	7.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	4.4	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	11.75	12.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.40	5.40
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.5	-0.8
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.3	-0.5
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.7
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.4	81.4
Trade Balance (USD Bn)	29.6	35.7	42.3	51.5	92.3	82.0	86.0
Exports (USD Bn)	225.8	210.7	284.0	340.2	343.8	348.0	357.0
Imports (USD Bn)	196.2	175.0	241.7	288.7	251.5	266.0	271.0
Current Account (USD Bn)	-65.0	-24.9	-40.4	-40.9	-21.7	-42.0	-38.5
Current Account (% GDP)	-3.5	-1.7	-2.4	-2.1	-1.0	-1.9	-1.7
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	74.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.2	3.2
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,175	2,318
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,630	12,352

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

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